2026

(NEP—2020)

(2nd Semester)

ECONOMICS (MAJOR/MINOR)

(Micro Economics—II)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions.

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. In a perfectly competitive market, a firm in the long run will be in equilibrium when

(a) AC = MC ( )

(b) AR = MR ( )

(c) MR = MC ( )

(d) Price = AR = MR = AC = MC ( )

2. Many firms producing homogeneous products can be generally treated as

(a) oligopoly ( )

(b) monopoly ( )

(c) perfect competition ( )

(d) bilateral monopoly ( )

3. Monopsony means

(a) a single seller ( )

(b) a single buyer ( )

(c) large number of buyers ( )

(d) None of the above ( )

4. The average revenue curve under monopolistic competition will be

(a) perfectly elastic ( )

(b) less than perfectly elastic ( )

(c) perfectly inelastic ( )

(d) None of the above ( )

5. The Bertrand model of duopoly assumes that firms compete on

(a) price ( )

(b) quantity ( )

(c) capacity ( )

(d) product differentiation ( )

6. The marginal productivity theory of distribution was firstly formulated in its complete form by

(a) Adam Smith ( )

(b) J. S. Mill ( )

(c) David Ricardo ( )

(d) J. B. Clark ( )

7. The concept of quasi-rent means

(a) the rent to the workers ( )

(b) the rent shared by the landlord and workers ( )

(c) the interest paid to the entrepreneur ( )

(d) the return to a factor of production which is fixed in supply in the short period ( )

8. Whose name is associated with the 'uncertainty-bearing theory of profit'?

   (a) J. Schumpeter ( )

   (b) F. H. Knight ( )

   (c) J. B. Clark ( )

   (d) F. W. Watker ( )

9. Which of the following is not a criticism of Classical/Pigouvian Welfare Economics?

   (a) Utility cannot be added ( )

   (b) Cardinal measurement of utility is not possible ( )

   (c) Interpersonal comparison of utility is unscientific ( )

   (d) It ignores the effect of income distribution ( )

10. "Economic welfare is that part of social welfare that can be brought directly or indirectly into relation with the measuring rod of money." Who said this?

   (a) A. C. Pigou ( )

   (b) Pareto ( )

   (c) Alfred Marshall ( )

   (d) Nicholas Kaldor ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write notes on *five* of the following, taking at least *one* from each Unit : 3×5=15

UNIT—I

1. Price Discrimination

2. Controlled and Administered Price

UNIT—II

3. Bilateral Monopoly

4. Duopoly

UNIT—III

5. Liquidity Preference

6. Factor Market

UNIT—IV

7. Social Welfare Function

8. Value Judgement

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer *five* of the following questions, taking at least *one* from each Unit : 10×5=50

UNIT—I

1. Explain with a suitable diagram how a firm attains equilibrium under perfect competition in the long run.

2. Discuss how a monopoly attains equilibrium under short run.

UNIT—II

3. Explain how equilibrium is achieved in the short run under monopolistic competition.

4. Discuss how equilibrium is attained using kinked demand curve.

UNIT—III

5. Critically examine marginal productivity theory of distribution.

6. Explain the Ricardian theory of rent.

UNIT—IV

7. Discuss Pareto optimality criterion of social welfare.

8. Critically discuss Kaldor-Hicks compensation principle.

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